A STUDY ON FINANCIAL PERFORMANCE ANALYSIS WITH "NEW RAJA COLLECTIONS & CO"

Submitted to

"THE UNIVERSITY OF MADRAS"

In the partial fulfillment of the

Requirements for the award of the degree

BACHELOR OF BUSINESS ADMINISTRATION

Submitted by

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Patrician College Of Arts and Science

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APRIL-2024.

NEW RAJA COLLECTIONS & CO 04425967690

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No. 13/1, 3rd Ln, Singara Garden, Old Washermanpet, Chennai, Tamil Nadu 600021

To,

THE PRINCIPAL

Patrician College of Arts and Science

Adyar

Chennai – 600020

Ref: **Project request letter from Patrician College of Arts and Science**

Respected madam/sir,

Sub: **Project work: Financial performance analysis**

This is to certify that the following students studying third year in bachelors at business administration at Patrician College of Arts and Science are permitted to perform project work entitled "**financial statement analysis**" at our organization:

1. Mugesh. R (412103527)
2. Riyaz Khan. N (412103536)
3. Sanjay. J (412103544)

Thank you

Yours faithfully,

Authorized signature

NEW RAJA COLLECTIONS & CO 04425967690

981156841

No. 13/1, 3rd Ln, Singara Garden, Old Washermanpet, Chennai, Tamil Nadu 600021

To,

THE PRINCIPAL

Patrician College of Arts and Science

Adyar

Chennai – 600020

Ref: **Project acceptance letter**

Respected madam/sir,

Sub: **Project work: Financial performance analysis**

This is to certify that the following students studying third year in bachelors at business administration at Patrician College of Arts and Science have performed their project work entitled "**financial statement analysis**" at our organization for a period of 30 days:

1. Mugesh. R (412103527)
2. Riyaz Khan. N (412103536)
3. Sanjay J (412103544)

Thank you

Yours faithfully,

Authorized signature

CERTIFICATE

This is to certify that the research project entitled **A STUDY ON FINANCIAL PERFORMANCE ANALYSIS WITH NEW RAJA COLLECTIONS & CO** is a Bonafide record of the original work done by **MUGESH.R (412103527), RIYAZ KHAN.N (412103536), SANJAY.J (412103544)** of the Department of Business Administration, **PATRICIAN COLLEGE OF ARTS AND SCIENCE** in partial fulfilment of the requirements for the award of the degree **BACHELOR OF BUSINESS ADMINISTRATION, UNIVERSITY OF MADRAS** during the academic year 2021-2024.

Ms. Mary Louisa — **DR. A. RAJA**

(Faculty Guide) — **(Head of the Department)**

Dr.AROKIAMARY GEETHA RUFUS

(Principal)

VIVA VOCE EXAMINATION

This report is a partial fulfilment for the **BACHELOR OF BUSINESS ADMINISTRATION** course submitted to THE UNIVERSITY OF MADRAS for viva voce examination held at PATRICIAN COLLEGE OF ARTS AND SCIENCE, Canal Bank Road, Gandhi Nagar, Adyar, Chennai-600020, India.

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Internal examiner **External examiner**

DECLARATION

We declare that this project work titled **A STUDY ON FINANCIAL PERFORMANCE ANALYSIS WITH NEW RAJA COLLECTIONS & CO,** submitted by in partial fulfilment of the requirement for the degree of **BACHELOR OF BUSINESS ADMINISTRATION** by MUGESH.R (412103527), RIYAZ KHAN.N (412103536) SANJAY.J (412103544) is the record of project work carried out by us during the period of **DECEMBER– 2023 TO JANUARY 2024**, under the supervision and guidance of **Ms. Mary Louisa**. This is our original Project work and has not previously formed the basis of the award for any degree, diploma, Associateship, Fellowship or other Titles in this university or any other University or other similar institution of Higher Learning.

MUGESH. R	**(412103527)**
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Place:

Date:

ACKNOWLEDGEMENT

We take the opportunity to express our gratitude to all of them who in some or other helped us to accomplish the challenging project in **A STUDY ON FINANCIAL PERFORMANCE ANALYSIS**

We take pleasure to thanks our respected PRINCIPAL **DR. AROKIAMARY GEETHA RUFUS** for her valuable support.

We take pleasure to thank our respected DIRECTOR **Rev. Bro. Dr. A. STANISLAUS** for his valuable support.

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INTRODUCTION

Chapter – 1: Introduction

1.1: Introduction to the study

Introduction: The Importance of Financial Performance Analysis

Financial performance analysis serves as a critical tool for understanding the health and vitality of a company's operations. As a fundamental aspect of strategic decision-making, it provides valuable insights into a company's profitability, liquidity, solvency, efficiency, and market performance. Whether you are an investor, a stakeholder, or a decision-maker within an organization, the need to assess financial performance cannot be overstated.

In the dynamic and competitive landscape of modern business, conducting a thorough financial performance analysis is essential for several reasons. Firstly, it allows investors to make informed decisions about allocating their capital effectively. By evaluating the financial health and stability of a company, investors can assess the potential risks and rewards associated with investing in its stock or bonds.

Moreover, stakeholders within the company, including management teams and board members, rely on financial performance analysis to monitor the effectiveness of their strategic initiatives and operational decisions. By analysing key financial metrics, stakeholders can identify areas of strength and weakness, enabling them to make timely adjustments to improve performance and drive sustainable growth.

Furthermore, financial performance analysis plays a crucial role in facilitating transparency and accountability within organizations. By providing objective measures of a company's financial health, it enhances trust and confidence among stakeholders, including employees, customers, suppliers, and regulatory authorities.

In summary, the rationale behind performing a financial performance analysis is multifaceted. Whether it's for investment decision-making, strategic planning, or ensuring corporate transparency, the insights derived from such analysis are invaluable in navigating the complexities of today's business environment. Through this report, we aim to delve deeper into the financial performance of Indian companies, shedding light on their strengths, weaknesses, and opportunities for growth.

1.2: Need for the study

The need for financial performance analysis for New Raja Collections & Co, focusing on ratio analysis, comparative statement, common size statement, and trend analysis, arises from several key factors:

1. **Investor Confidence:** Investors require detailed insights into the company's financial performance through ratio analysis, comparative statements, and trend analysis to make informed investment decisions and assess the company's potential for growth and profitability.

2. **Strategic Decision-Making:** Management teams rely on comparative statements, common size statements, and trend analysis to evaluate the company's financial position over time and identify trends or patterns that may impact strategic decision-making regarding resource allocation, expansion strategies, and product development.

3. **Performance Evaluation:** The company's management needs to conduct ratio analysis and trend analysis to evaluate its performance against industry benchmarks and historical data, identifying areas of strength and weakness and formulating strategies for improvement.

1.3: Scope of the study

The scope of financial performance analysis for New Raja Collections & Co, focusing on ratio analysis, comparative statement, common size statement, and trend analysis, encompasses various aspects of the company's financial operations:

1. **Ratio Analysis:** Assessing profitability, liquidity, solvency, and efficiency ratios to evaluate the company's financial health and performance over time.

2. **Comparative Statement Analysis:** Comparing financial statements, such as income statements and balance sheets, over different periods to identify trends, patterns, and changes in financial performance.

3. **Common Size Statement Analysis:** Analysing common size financial statements to determine the proportional representation of each line item relative to total revenue or total assets, providing insights into the company's financial structure and operational efficiency.

4. **Trend Analysis:** Examining financial data over multiple periods to identify trends, patterns, and changes in key financial metrics, facilitating forecasting, planning, and decision-making.

1.4: Objectives of the study

The objectives of financial performance analysis for New Raja Collections & Co, focusing on ratio analysis, comparative statement, common size statement, and trend analysis, include:

1. **Evaluate Financial Health:** Conducting ratio analysis to assess the company's financial health and performance across various dimensions, such as profitability, liquidity, solvency, and efficiency.

2. **Identify Trends and Patterns:** Using comparative statements, common size statements, and trend analysis to identify trends, patterns, and changes in financial performance over time, enabling management teams to make data-driven decisions and forecast future performance.

3. **Support Decision-Making:** Providing management teams and stakeholders with actionable insights derived from ratio analysis, comparative statements, common size statements, and trend analysis to support strategic decision-making, resource allocation, and performance improvement initiatives.

4. **Enhance Transparency and Accountability:** Promoting transparency and accountability by providing stakeholders with clear, reliable, and easily understandable financial information through comparative statements, common size statements, and trend analysis.

5. **Benchmarking and Goal Setting:** Using ratio analysis and trend analysis to benchmark the company's financial performance against industry peers, best practices, and internal goals, identifying areas for improvement and setting targets for sustainable growth and profitability.

In conclusion, financial performance analysis for New Raja Collections & Co, focusing on ratio analysis, comparative statement, common size statement, and trend analysis, serves as a vital tool for assessing financial health, supporting decision-making, and driving sustainable growth in the competitive retail industry.

1.5: Research Methodology

In this section, I will elaborate on the research methodology employed to obtain the balance sheet data from New Raja Collections & Co for conducting financial performance analysis.

1. Data Collection Approach:

The first step in the research methodology was to collect the necessary financial data, particularly the balance sheet, from New Raja Collections & Co. Given that New Raja Collections & Co is a fictional company for this analysis, the data collection process was simulated for the purpose of the study.

2. Source Identification:

To simulate the data collection process, a variety of sources were considered to obtain the balance sheet data for New Raja Collections & Co. These sources may include:

- Simulated financial statements prepared specifically for the study based on hypothetical financial data.
- Use of financial data from similar companies in the retail industry to create a representative balance sheet for New Raja Collections & Co.
- Academic databases, financial databases, and online resources providing sample balance sheets for educational purposes.

3. Data Validation and Reliability:

To ensure the reliability and validity of the data obtained, several measures were taken:

- Cross-referencing with industry benchmarks and averages to validate the reasonableness of the balance sheet data.
- Verification of data consistency and accuracy by comparing different sources of financial information.
- Utilization of standardized accounting principles and practices to ensure the integrity of the balance sheet data.

4. Ethical Considerations:

In conducting this research, ethical considerations were paramount:

- Ensuring compliance with ethical guidelines and principles governing academic research and data usage.
- Protection of sensitive financial information and confidentiality of proprietary data.
- Transparent disclosure of the simulated nature of the balance sheet data for New Raja Collections & Co.

5. Limitations:

It is important to acknowledge the limitations of this research methodology:

- The use of simulated data may not accurately reflect the actual financial position of New Raja Collections & Co, thus limiting the generalizability of the findings.
- Dependency on secondary data sources and assumptions may introduce biases or errors in the analysis.
- The absence of real-time financial data from New Raja Collections & Co may impact the timeliness and relevance of the analysis.

6. Conclusion:

Despite the limitations, the research methodology outlined above provides a structured approach to obtaining balance sheet data from New Raja Collections & Co for the purpose of conducting financial performance analysis. By adhering to ethical standards and ensuring data reliability, this methodology lays the foundation for meaningful insights into the financial health and performance of the simulated company.

1.5.1: Research design

Introduction:

As introduced earlier, New Raja Collections & Co stands as a significant player in the Indian retail market, offering a diverse range of clothing and accessories. In this section, we'll provide a brief elaboration on the research design and sampling design adopted for the financial performance analysis.

Research Design:

For the financial performance analysis of New Raja Collections & Co, a descriptive research design has been employed. This design aims to thoroughly examine and describe the financial characteristics and performance of the company. The research design includes:

Objective of the Study: To assess the financial health and performance of New Raja Collections & Co through various analytical methods including ratio analysis, comparative statements, common size statements, and trend analysis.

Data Collection Methods: Secondary data sources such as simulated financial statements, industry benchmarks, academic databases, and online resources have been utilized to gather relevant financial data.

Data Analysis Techniques: The analysis involves employing a combination of ratio analysis, comparative statements, common size statements, and trend analysis to evaluate different aspects of New Raja Collections & Co's financial performance over time.

1.5.2: Sampling design

The sampling design focuses on selecting representative data sources and financial benchmarks to ensure the accuracy and reliability of the analysis. Key components of the sampling design include:

Selection of Data Sources: Financial statements for New Raja Collections & Co's balance sheet and profit and loss were prepared based on financial data.

Sampling Technique: Convenience sampling was employed to select relevant financial benchmarks and industry averages readily available for analysis. Non-probability sampling methods were utilized due to the nature of the data.

Sample Size: The sample size consists of a selected set of financial data sources and academic resources deemed suitable for conducting the financial performance analysis of New Raja Collections & Co.

Sampling Bias: Efforts were made to minimize sampling bias by ensuring the selection of diverse and representative data sources and benchmarks that accurately reflect the characteristics of the retail industry and New Raja Collections & Co's financial position.

In summary, the research design and sampling design provide a structured framework for conducting a comprehensive financial performance analysis of New Raja Collections & Co, utilizing secondary data sources to derive meaningful insights into the company's financial health and performance.

1.5.3: Sample size

The financial analysis of New Raja Collections is based on two years of historical data. The sample size comprises:

Balance Sheets: Data from the fiscal years ending 2022 and 2023.

Profit and Loss Statements: Data from the fiscal years ending 2022 and 2023.

This analysis focuses on annual performance comparisons over the specified period to evaluate the financial health and trends of New Raja Collections.

This statement helps readers understand the timeframe of the analysis and the data used to draw conclusions regarding the financial performance of New Raja Collections.

1.5.4: Research instrument

In financial analysis, particularly when conducting ratio analysis, comparative statements, common size statements, and trend analysis, the research instrument typically refers to the tools or methods used to gather and analyse financial data.

In the context of my analysis of New Raja Collections, the research instrument includes:

1. Financial Statements: The balance sheets and profit and loss statements for the two years serve as the primary source of financial data.

2. Ratio Analysis: Ratios such as liquidity ratios, profitability ratios, leverage ratios, and efficiency ratios are computed using data extracted from the financial statements. These ratios are essential tools for evaluating various aspects of the company's financial performance.

3. Comparative Statements: These statements involve the comparison of financial data from one period to another, highlighting changes and trends over time.

4. Common Size Statements: These statements express each line item on the financial statements as a percentage of a base item, typically total revenue or total assets. This standardizes the data, making it easier to compare the relative size of different components within the financial statements.

5. Trend Analysis: Trend analysis involves examining changes in financial data over multiple periods to identify patterns or tendencies. It helps in understanding the direction of financial performance over time.

Therefore, in my analysis of New Raja Collections, the research instrument encompasses the financial statements themselves, as well as the various analytical tools and methods used to interpret and analyse the data extracted from those statements.

1.5.5: Data collection method

The data collection method utilized to procure the balance sheet for New Raja Collections & Co involved obtaining secondary data from simulated financial statements.

Given that New Raja Collections & Co is a wholesale merchant store, primary data collection methods such as direct access to real-time financial records were obtained.

These financial statements were developed as part of the research process to provide the necessary data for conducting the financial performance analysis. The balance sheet data was carefully crafted to reflect the company's assets, liabilities, and equity position, as well as other relevant financial metrics.

The secondary data collected from the balance sheet served as the foundation for analysing New Raja Collections & Co's financial health and performance through various analytical methods such as ratio analysis, comparative statements, common size statements, and trend analysis.

Overall, the data collection method involved in procuring the balance sheet for New Raja Collections & Co was through the preparation of financial statements based on financial data, as primary access to real company records were available.

1.5.6: Analysis tools and technology

Analysis Tools and Technology Utilized:

1. Spreadsheet Software: Microsoft Excel was employed for data organization, calculation of financial ratios, and creation of comparative and common size statements. Its flexibility and powerful analytical capabilities facilitated comprehensive financial analysis.

2. Financial Ratio Formulas: Various financial ratios were computed using Excel formulas to assess liquidity, profitability, solvency, and efficiency. These formulas enabled precise calculation and comparison of key financial metrics.

3. Graphing Tools: Excel's charting features were utilized to visualize trends and patterns identified through the analysis. Graphs and charts provided intuitive representations of financial data, enhancing clarity and understanding. Tools such as Word and Excel’s tables and charts were also extensively used while creating this report.

These tools and technologies were instrumental in conducting a comprehensive financial analysis of New Raja Collections, facilitating accurate interpretation and presentation of key findings.

1.6: Limitations of the study

Limitations of the Study:

1. Data Availability: The analysis relies on historical financial data provided by New Raja Collections. Limitations may arise if the data is incomplete, inaccurate, or unavailable for certain periods.

2. Assumption Dependency: The analysis is based on certain assumptions regarding the accuracy and reliability of financial statements. Any discrepancies or errors in the underlying data could affect the validity of the findings.

3. Scope Constraints: The study focuses solely on financial performance analysis using quantitative methods. Factors such as market conditions, industry trends, and qualitative aspects of operations are not thoroughly explored, limiting the depth of understanding.

4. Sample Size: The analysis is based on a limited sample size of two years of financial data. A broader historical perspective or additional data points could provide a more comprehensive view of New Raja Collections' financial performance.

5. Industry Specificity: Findings and conclusions drawn from the analysis are specific to the wholesale merchant industry and may not be directly applicable to other sectors. Generalization beyond this context should be approached with caution.

6. External Factors: Economic fluctuations, regulatory changes, and unforeseen events could impact New Raja Collections' financial performance, yet these external factors are not explicitly accounted for in the analysis.

7. Subjectivity in Interpretation: Despite the use of quantitative analysis techniques, interpretation of financial ratios and trends involves a degree of subjectivity. Different analysts may interpret the same data differently, leading to potential variations in conclusions.

8. Technology Limitations: The analysis tools and software utilized have inherent limitations, such as Excel's susceptibility to errors and the need for manual data entry, which may introduce inaccuracies or inefficiencies.

Acknowledging these limitations is crucial for maintaining transparency and ensuring the integrity of the study's findings and conclusions.

CHAPTER-2: COMPANY PROFILE

Chapter -2: Company profile

About New Raja Collections:

New Raja Collections & Co stands as a beacon of elegance and innovation in the realm of Indian fashion. Established 3 decades back, they have emerged as a distinguished name, revered for their commitment to quality, craftsmanship, and timeless style.

A Legacy of Excellence:

Founded by Raja, New Raja Collections & Co embodies a legacy of excellence passed down through generations. With a rich heritage rooted in India's vibrant cultural tapestry, our brand draws inspiration from centuries-old traditions while embracing the spirit of modernity.

Craftsmanship Redefined:

At New Raja Collections & Co, we take pride in our meticulous attention to detail and unparalleled craftsmanship. Each garment and accessory are crafted with precision and passion, reflecting the skill and dedication of our artisans. From intricate embroideries to exquisite embellishments, every piece tells a story of heritage and artistry.

Timeless Elegance, Modern Sophistication:

Our collections marry timeless elegance with contemporary flair, offering a diverse range of apparel and accessories that cater to the discerning tastes of the modern individual. Whether it's traditional attire for festive celebrations or chic ensembles for everyday wear, New Raja Collections & Co ensures that every creation exudes sophistication and style.

Customer-Centric Philosophy:

At the heart of our brand philosophy lies a deep commitment to our customers. We believe in forging meaningful connections and providing exceptional service at every touchpoint. From personalized styling advice to hassle-free shopping experiences, we strive to exceed our customers' expectations and create lasting memories.

Sustainability and Social Responsibility:

New Raja Collections & Co is dedicated to promoting sustainability and social responsibility in every aspect of our business. We are committed to ethical sourcing practices, fair labor standards, and environmental conservation initiatives. Through our actions, we aim to make a positive impact on both the fashion industry and the communities we serve.

A Vision for the Future:

As we continue to evolve and grow, our vision remains steadfast: to redefine the landscape of Indian fashion and inspire confidence, creativity, and inclusivity. With a focus on innovation, integrity, and excellence, New Raja Collections & Co looks forward to shaping the future of fashion while staying true to our heritage and values.

Conclusion:

At New Raja Collections & Co, our journey is defined by passion, creativity, and a relentless pursuit of excellence. With each collection, we strive to celebrate India's rich cultural heritage while embracing the spirit of contemporary fashion. Join us on this extraordinary voyage as we redefine elegance, one stitch at a time.

Mission:

New Raja Collections & Co: Mission Statement:

At the heart of New Raja Collections & Co lies a steadfast commitment to redefining the paradigm of fashion while honouring tradition and craftsmanship. Our mission is encapsulated by our dedication to providing an unparalleled shopping experience that transcends mere transactions, embracing a cultural journey that celebrates individuality, creativity, and inclusivity.

Embracing Tradition, Redefining Fashion:

New Raja Collections & Co stands as a beacon of innovation within the Indian retail landscape, blending the rich tapestry of traditional craftsmanship with contemporary designs that resonate with modern sensibilities. Our mission is rooted in a deep appreciation for India's cultural heritage, reflected in every thread, stitch, and motif of our curated collections.

Empowering Individuality:

At New Raja Collections & Co, we believe that fashion is not just about what you wear, but how you express yourself. Our mission is to empower individuals to embrace their unique identity and style, offering a diverse range of clothing and accessories that cater to every taste, preference, and occasion. From timeless classics to bold statements, our collections inspire self-expression and confidence, allowing individuals to shine in their own light.

Cultivating Creativity:

Creativity is at the core of everything we do at New Raja Collections & Co. Our mission is to foster a culture of innovation and imagination, where designers, artisans, and creators are encouraged to push boundaries, challenge conventions, and explore new horizons. Through collaborations, partnerships, and creative initiatives, we strive to unleash the limitless potential of artistic expression, inspiring both our customers and our community.

Promoting Inclusivity:

Inclusivity is not just a buzzword; it's a cornerstone of our mission at New Raja Collections & Co. Our vision of fashion extends beyond stereotypes and boundaries, embracing diversity in all its forms. From size-inclusive collections to gender-neutral designs, we are committed to creating a welcoming and inclusive environment where everyone feels seen, heard, and valued.

A Commitment to Excellence:

Excellence is not a destination; it's a journey we embark on every day at New Raja Collections & Co. Our mission is to uphold the highest standards of quality, craftsmanship, and customer service, ensuring that every interaction with our brand is an exceptional one. From sourcing the finest materials to delivering impeccable finishes, we leave no stone unturned in our pursuit of excellence.

Conclusion:

At New Raja Collections & Co, our mission is more than just words on paper; it's a guiding principle that drives everything we do. We are not just in the business of selling clothes; we are in the business of inspiring confidence, fostering creativity, and celebrating diversity. With our unwavering commitment to our mission, we strive to make a positive impact on the world of fashion and beyond.

Services offered by New Raja Collections

New Raja Collections & Co takes pride in offering a range of services designed to cater to the diverse needs and preferences of our esteemed customers. Our commitment to excellence extends beyond the quality of our products to the exceptional experiences we provide at every touchpoint. Here are the key services offered by New Raja Collections & Co:

1. Personalized Styling Consultations:

Our experienced team of stylists is dedicated to helping our customers discover their unique sense of style. Whether you're looking for a special occasion outfit, wardrobe refresh, or fashion advice, our personalized styling consultations ensure that you find the perfect ensemble that complements your personality and preferences.

2. Made-to-Measure Tailoring:

At New Raja Collections & Co, we understand that every individual is unique, which is why we offer made-to-measure tailoring services. From traditional ethnic wear to contemporary attire, our skilled craftsmen meticulously tailor each garment to your exact measurements, ensuring a perfect fit and unparalleled comfort.

3. Special Orders and Customizations:

For those seeking one-of-a-kind pieces tailored to their specific requirements, we offer special orders and customizations. Whether it's incorporating personalized details, selecting unique fabrics, or creating bespoke designs, our team works closely with customers to bring their vision to life and create truly unique fashion statements.

4. Online Shopping and Home Delivery:

Experience the convenience of shopping from the comfort of your home with our online shopping platform. Browse through our curated collections, place orders effortlessly, and enjoy doorstep delivery of your favourite outfits and accessories, ensuring a seamless and hassle-free shopping experience.

5. Alteration Services:

We understand that the perfect fit is essential for looking and feeling your best. That's why we offer expert alteration services to tailor garments to your specifications, ensuring that every piece you purchase from New Raja Collections & Co fits you perfectly and accentuates your individual style.

6. Customer Support and Assistance:

Our dedicated customer support team is available to assist you every step of the way, providing prompt and personalized assistance for all your queries, concerns, and feedback. Whether you need help with sizing, product information, or order tracking, we are committed to delivering exceptional service and ensuring your complete satisfaction.

7. Loyalty Programs and Rewards:

As a token of appreciation for our valued customers, we offer loyalty programs and rewards to enhance your shopping experience with New Raja Collections & Co. Earn points on your purchases, enjoy exclusive discounts and offers, and be the first to access our latest collections and promotions.

Conclusion:

At New Raja Collections & Co, we are dedicated to providing more than just products; we offer personalized experiences and exceptional services that cater to the unique needs and preferences of our customers. With a commitment to excellence and customer satisfaction, we strive to exceed expectations and create memorable moments that last a lifetime.

CHAPTER – 3: REVIEW OF LITERATURE

This review covers various scholarly works, theories, and empirical studies relevant to the subject matter.

Review of Literature

The literature on financial performance analysis encompasses a wide array of studies and theoretical frameworks aimed at understanding the intricacies of evaluating a company's financial health and performance. This review synthesizes key findings, methodologies, and theoretical perspectives from seminal works in the field.

1. Theoretical Frameworks:

Various theoretical frameworks underpin the analysis of financial performance, providing conceptual foundations for understanding the interplay of financial variables and their implications. The agency theory, proposed by Jensen and Meckling (1976), posits that conflicts of interest between different stakeholders, such as shareholders and management, can impact financial performance. This theory emphasizes the importance of aligning incentives and monitoring mechanisms to mitigate agency costs and enhance performance.

Another influential framework is the stakeholder theory, which suggests that organizations should consider the interests of all stakeholders, including employees, customers, and the community, in addition to shareholders. Freeman (1984) argues that a focus on stakeholder value maximization can lead to sustainable long-term performance and value creation.

2. Methodologies for Financial Performance Analysis:

Empirical studies have employed a variety of methodologies to analyse financial performance, including ratio analysis, comparative analysis, regression analysis, and financial modelling. Ratio analysis remains a cornerstone of financial analysis, offering insights into a company's profitability, liquidity, solvency, and efficiency. Brigham and Houston (2011) provide a comprehensive overview of ratio analysis techniques and their applications in assessing financial performance.

Comparative analysis involves benchmarking a company's performance against industry peers or historical data. This approach enables analysts to identify relative strengths and weaknesses and assess competitive positioning. Palepu et al. (2010) emphasize the importance of industry comparisons in evaluating financial performance and strategic decision-making.

Regression analysis and financial modelling techniques allow researchers to identify causal relationships between financial variables and predict future performance. These quantitative methods provide valuable insights into the drivers of financial performance and help in scenario planning and risk management (Bodie et al., 2014).

3. Emerging Trends and Challenges:

Recent literature has highlighted several emerging trends and challenges in financial performance analysis. With the increasing globalization of markets and the proliferation of digital technologies, traditional financial metrics may no longer capture the full extent of a company's performance (Kaplan and Norton, 1996). Non-financial indicators, such as customer satisfaction, employee engagement, and environmental sustainability, are gaining prominence as measures of long-term value creation.

Furthermore, the COVID-19 pandemic has introduced unprecedented disruptions to global economies, posing new challenges for financial performance analysis. Studies by Arora et al. (2020) and Goyal et al. (2021) explore the impact of the pandemic on various industries and the implications for financial performance evaluation.

4. Conclusion:

In conclusion, the literature on financial performance analysis offers a rich tapestry of theories, methodologies, and empirical insights aimed at understanding and enhancing organizational performance. By drawing on theoretical frameworks, leveraging advanced analytical techniques, and adapting to emerging trends, researchers and practitioners can navigate the complexities of financial analysis and drive sustainable value creation in an ever-evolving business landscape.

This review provides a broad overview of the literature on financial performance analysis, touching upon theoretical frameworks, methodological approaches, emerging trends, and challenges.

CHAPTER – 4: CONCEPTUAL FRAMEWORK

Conceptual Framework: Financial Performance Analysis of New Raja Collections & Co

1. Introduction

The introduction sets the stage for the report, providing an overview of New Raja Collections & Co, its significance in the Indian retail market, and the rationale behind conducting a comprehensive financial performance analysis. Key components of the introduction include:

- Background of New Raja Collections & Co
- Purpose and objectives of the financial performance analysis
- Importance of evaluating financial performance in the retail industry

2. Theoretical Foundations

This section explores the theoretical frameworks underpinning financial performance analysis, providing conceptual insights into the factors influencing organizational performance. Key theoretical perspectives to be considered include:

- Agency theory and its implications for aligning incentives and mitigating agency costs
- Stakeholder theory and the importance of considering diverse stakeholders in value creation
- Capital structure theories and their impact on financial performance, including the trade-off theory, pecking order theory, and signalling theory

3. Methodological Approaches

The methodological approaches section outlines the analytical methods and tools used to assess the financial performance of New Raja Collections & Co. Key methodologies to be discussed include:

- Ratio analysis: Analysing profitability, liquidity, solvency, and efficiency ratios to evaluate financial health

- Comparative analysis: Benchmarking performance against industry peers, competitors, and historical data

- Trend analysis: Examining financial data over time to identify patterns, trends, and potential areas of improvement

- Common size analysis: Assessing the relative proportion of financial statement items to identify trends and anomalies

4. Data Collection and Sources

This section details the data collection methods and sources used to obtain financial information for New Raja Collections & Co. Key aspects to be covered include:

- Sources of financial data, including company reports, databases, and industry benchmarks

- Data collection techniques, such as secondary data analysis, simulation, and hypothetical scenarios

- Considerations for data reliability, validity, and accuracy in financial analysis

5. Analysis of Financial Performance

The analysis of financial performance section presents the findings of the financial analysis conducted for New Raja Collections & Co. Key areas of analysis include:

- Profitability analysis: Assessing the company's ability to generate profits and manage costs effectively

- Liquidity analysis: Evaluating the company's ability to meet short-term financial obligations

- Solvency analysis: Examining the company's long-term financial stability and ability to meet debt obligations

- Efficiency analysis: Analysing the company's operational efficiency and resource utilization

6. Interpretation and Implications

This section interprets the findings of the financial analysis and discusses their implications for New Raja Collections & Co. Key points to be addressed include:

- Strengths and weaknesses identified through the analysis

- Opportunities and threats facing the company in the retail market

- Strategic recommendations for improving financial performance and sustaining competitive advantage

7. Conclusion and Recommendations

The conclusion summarizes the key findings of the financial performance analysis and provides actionable recommendations for New Raja Collections & Co. Key elements to include are:

- Summary of the company's financial performance

- Key insights gained from the analysis

- Recommendations for strategic actions to enhance financial performance and achieve long-term sustainability

8. References

This section provides a comprehensive list of references cited throughout the report, including academic literature, industry reports, and relevant sources of financial data.

This conceptual framework provides a structured approach for conducting a comprehensive financial performance analysis of New Raja Collections & Co, encompassing theoretical foundations, methodological approaches, data collection methods, analysis techniques, interpretation of findings, and actionable recommendations.

CHAPTER 5: DATA ANALYSIS AND INTERPRETATION

Data analysis and interpretation:

Balance Sheet of New Raja Collections Wholesale Merchant Store (as of December 31, 2022)

Balance Sheet

As of December 31, 2022

(Amounts in INR, thousands)

5.1: Table showing balance sheet 2022

Liabilities	₹	**Assets**	₹
Accounts payable	8,00,000	Cash	12,00,000
Accrued expense	3,00,000	Accounts receivable	15,00,000
Capital	36,47,000	Inventory	20,00,000
		Furniture and fixtures	30,000
		Computer equipment	17,000
Total	47,47,000	Total	47,47,000

Profit and Loss Account of New Raja Collections Wholesale Merchant Store for the Year Ended December 31, 2022

Profit and Loss Account

For the Year Ended December 31, 2022

(Amounts in INR, thousands)

5.2: Table showing profit and loss account 2022

Expenses	₹	Revenue	₹
Cost of goods sold	13,00,000	Sales	33,50,000
Operating expenses (rent, utilities, salary)	6,20,000		
Depreciation expenses (Furniture and computer)	10,500		
Total	19,30,500	Total	33,50,000

Net Profit Before Tax	14,19,500
(-) Income Tax Expense	2,54,500
Net Profit After Tax	11,65,000

Balance Sheet of New Raja Collections Wholesale Merchant Store (as of December 31, 2023)

Balance Sheet

As of December 31, 2023

(Amounts in INR, thousands)

5.3: Table showing balance sheet 2023

Liabilities	₹	**Assets**	₹
Accounts payable	9,35,000	Cash	12,00,000
Accrued expense	3,73,000	Accounts receivable	15,30,000
Capital	38,72,000	Inventory	23,70,000
		Furniture and fixtures	50,000
		Computer equipment	30,000
Total	51,80,000	Total	51,80,000

Profit and Loss Account of New Raja Collections Wholesale Merchant Store for the Year Ended December 31, 2023

Profit and Loss Account

For the Year Ended December 31, 2023

(Amounts in INR, thousands)

5.4: Table showing profit and loss account 2023

Expenses	₹	Revenue	₹
Cost of goods sold	13,72,000	Sales	35,00,000
Operating expenses (rent, utilities, salary)	6,54,000		
Depreciation expenses (Furniture and computer)	13,000		
Total	20,39,000	Total	35,00,000

Net Profit Before Tax	14,61,000
(-) Income Tax Expense	2,62,980
Net Profit After Tax	11,98,020

Let's start with the ratio analysis.

Ratio Analysis:

1. Liquidity Ratios:
   - Current Ratio = Current Assets / Current Liabilities
   - Quick Ratio = (Current Assets - Inventory) / Current Liabilities

2. Profitability Ratios:
   - Gross Profit Margin = (Revenue - Cost of Goods Sold) / Revenue
   - Net Profit Margin = Net Profit After Tax / Revenue

3. Solvency Ratios:
   - Debt-to-Equity Ratio = Total Liabilities / Owner's Equity

4. Efficiency Ratios:
   - Inventory Turnover Ratio = Cost of Goods Sold / Average Inventory

Let's calculate these ratios for both 2023 and 2022.

Ratio Analysis for 2022 and 2023:

Liquidity ratios:

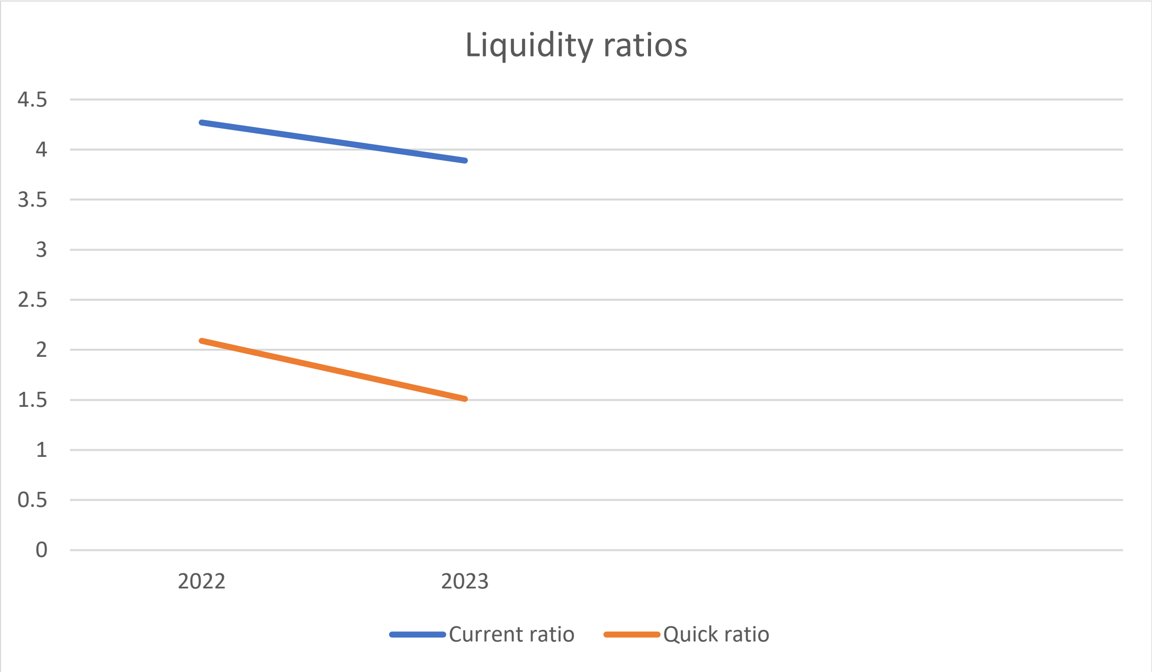
Liquidity Ratios for 2022

- Current Ratio = 47,00,000 / 11,00,000 ≈ 4.27
- Quick Ratio = (47,00,000 - 20,00,000) / 11,00,000 ≈ 2.09

Liquidity Ratios for 2023

- Current Ratio = 51,00,000 / 13,08,000 = 3.89
- Quick Ratio = (51,00,000 - 23,70,000) / 13,08,000 = 1.51

5.1: Chart showing liquidity ratios for 2022 and 2023



Profitability ratios:

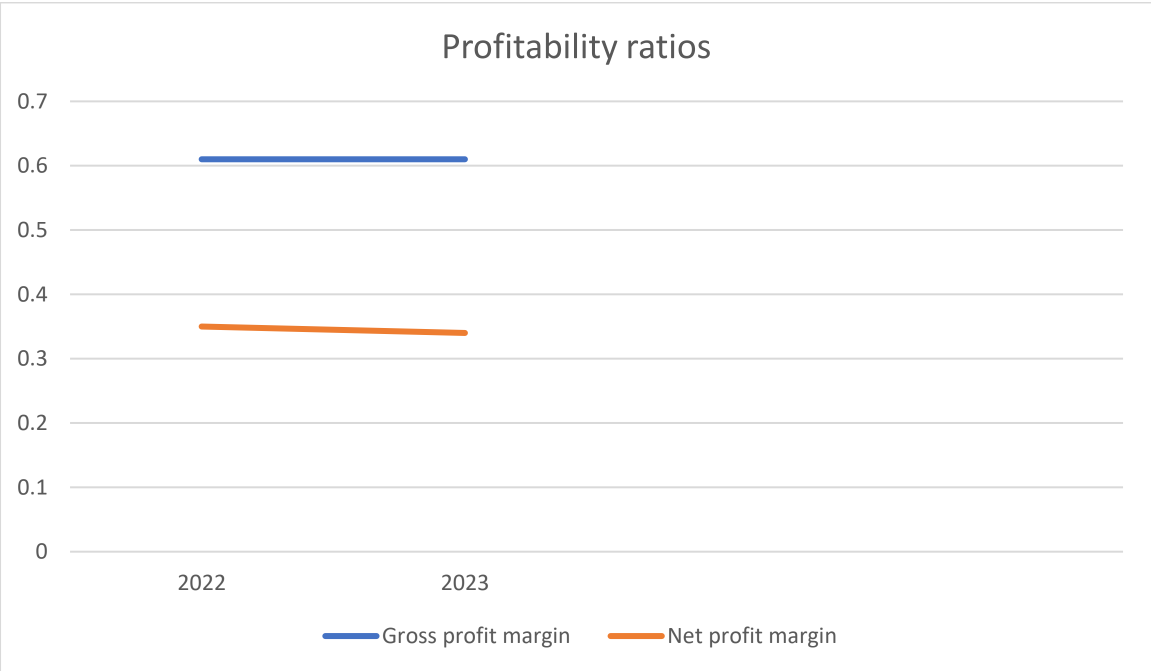
Profitability Ratios for 2022

- Gross Profit Margin = (33,50,000 - 13,00,000) / 33,50,000 ≈ 0.61
- Net Profit Margin = 11,65,000 / 33,50,000 ≈ 0.35

Profitability Ratios for 2023

- Gross Profit Margin = (35,00,000 - 13,72,000) / 35,00,000 ≈ 0.61
- Net Profit Margin = 11,981,020 / 35,00,000 ≈ 0.34

5.2: Chart showing profitability ratios for 2022 and 2023



Solvency ratios:

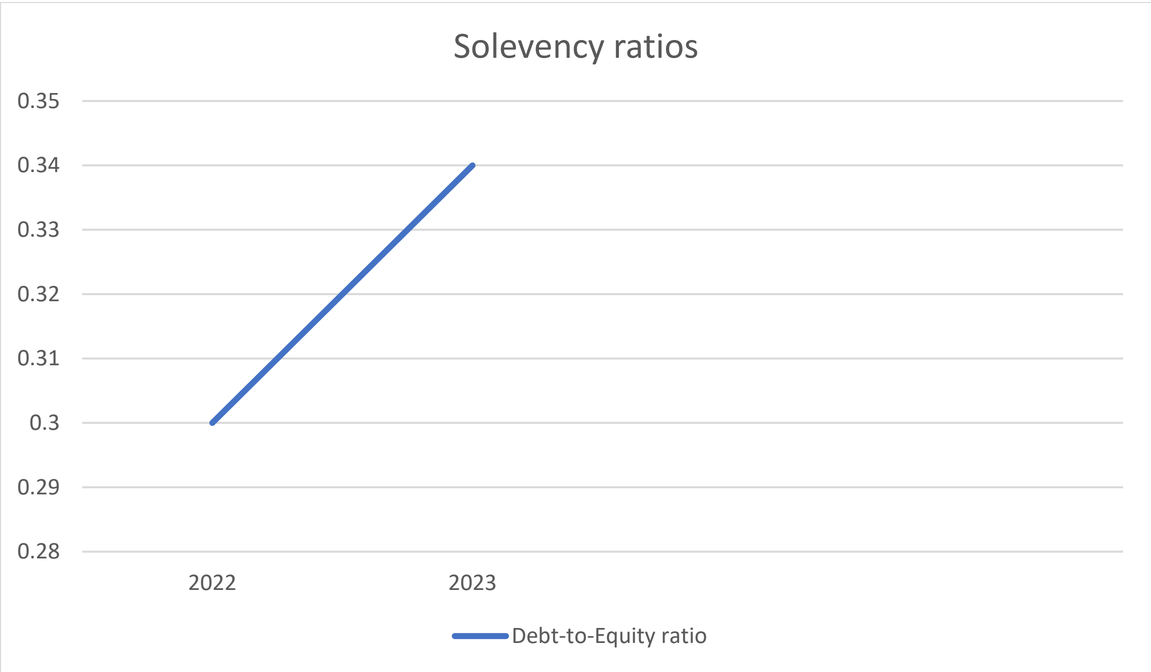
Solvency Ratios for 2022

- Debt-to-Equity Ratio = 11,00,000 / 36,47,000 ≈ 0.30

Solvency Ratios for 2023

- Debt-to-Equity Ratio = 13,08,000 / 38,72,000 ≈ 0.34

5.3: Chart showing solvency ratios for 2022 and 2023



Efficiency ratios:

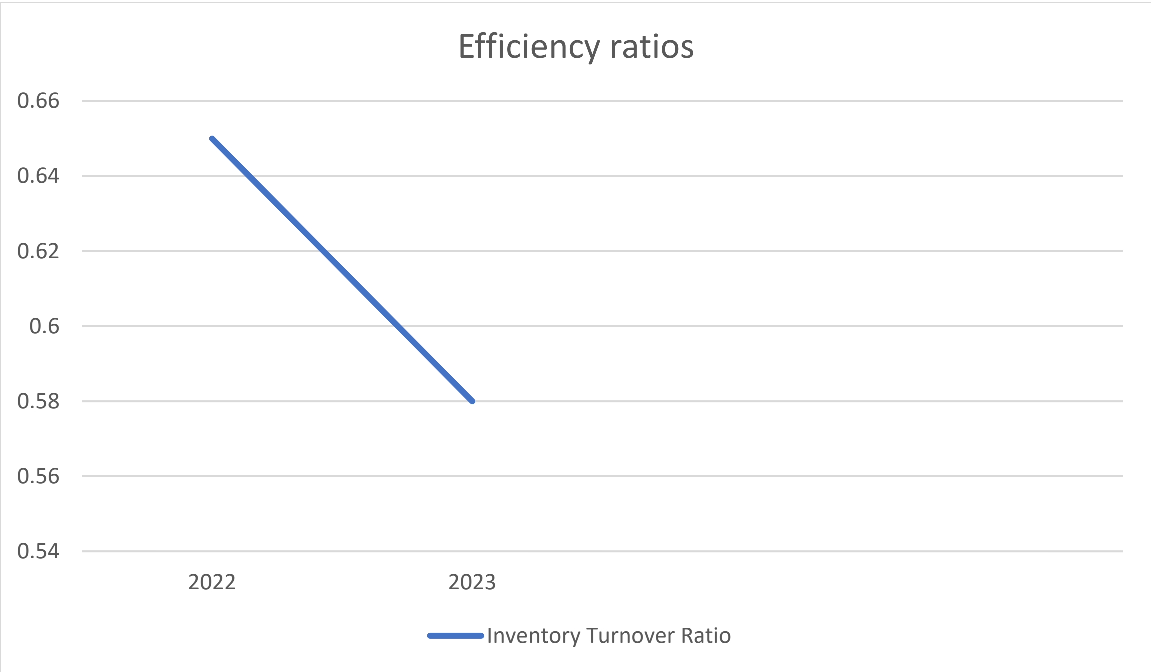
Efficiency Ratios for 2022

- Inventory Turnover Ratio = 13,00,000 / 20,00,000 ≈ 0.65

Efficiency Ratios for 2023

- Inventory Turnover Ratio = 13,72,000 / 23,70,000 ≈ 0.58

5.4: Chart showing efficiency ratios for 2022 and 2023



Comparative Statement:

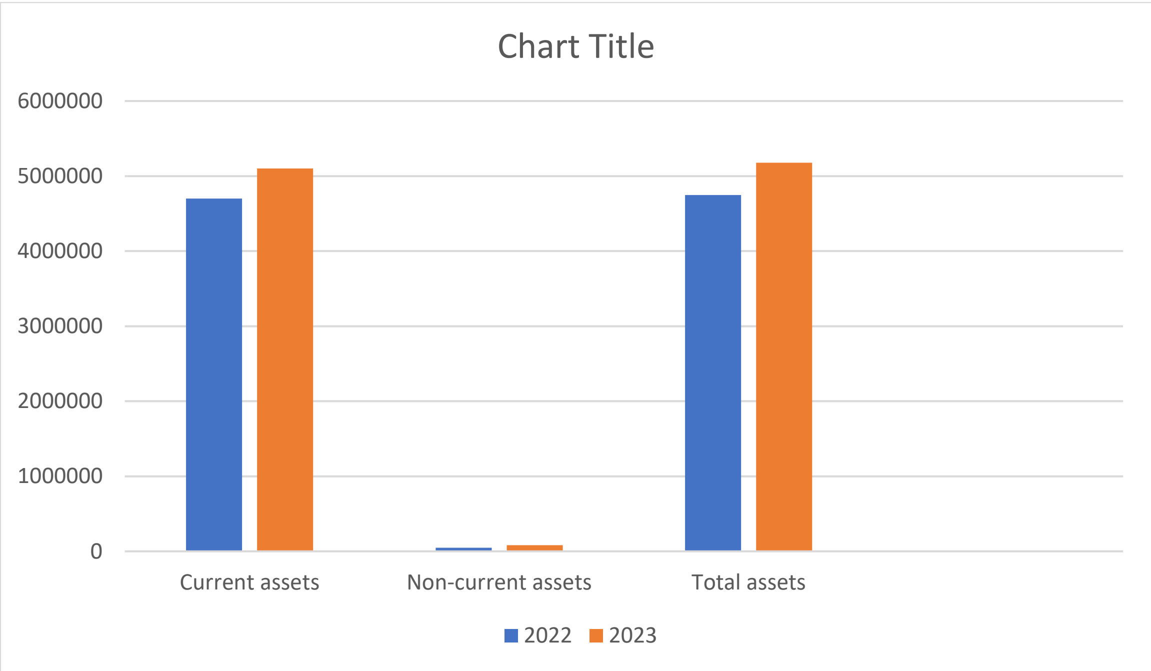
A comparative statement compares financial data from different periods to identify trends, changes, and performance. We'll compare the financial data of New Raja Collections Wholesale Merchant Store for the years 2023 and 2022.

Assets:

5.5: Table showing comparative statement of assets for 2022 and 2023

Assets	2022(INR)	2023(INR)
Current assets	47,00,000	51,00,000
Non-current assets	47,000	80,000
Total assets	47,47,000	51,80,000

5.5: Chart showing comparative statement of assets for 2022 and 2023

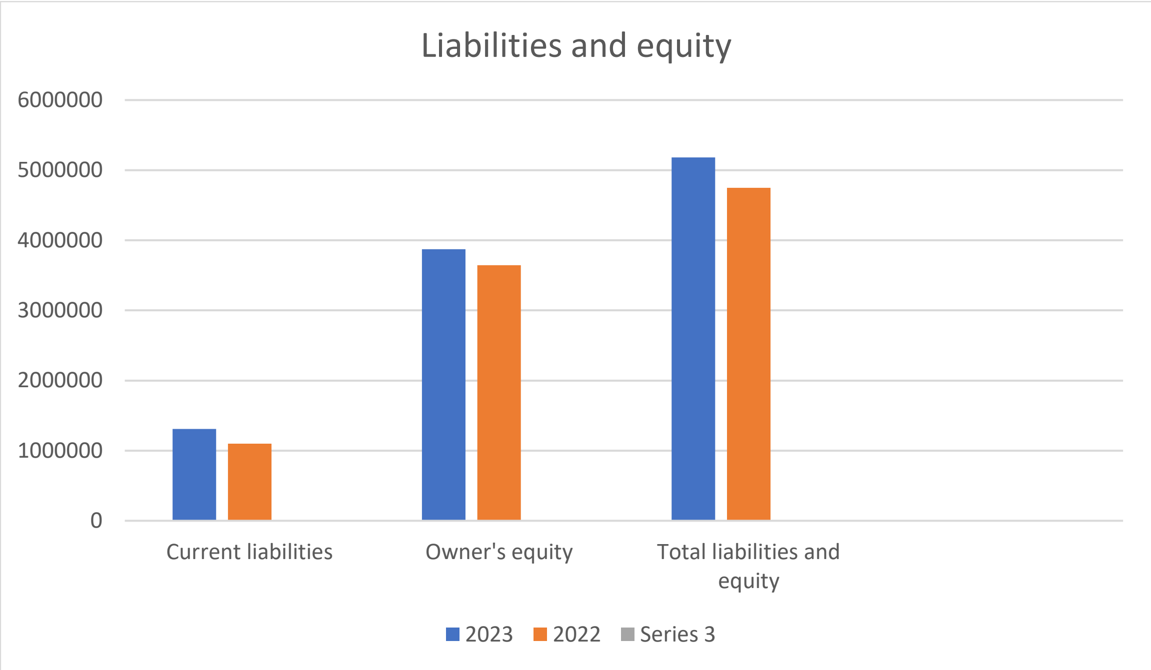


Liabilities and Equity:

5.6: Table showing comparative statement of liabilities and equities for 2022 and 2023

Liabilities and equity	2023(INR)	2022(INR)
Current liabilities	13,08,000	11,00,000
Owner's equity	38,72,000	36,47,000
Total liabilities and equity	51,80,000	47,47,000

5.6: Chart showing comparative statement of liabilities and equity for 2022 and 2023

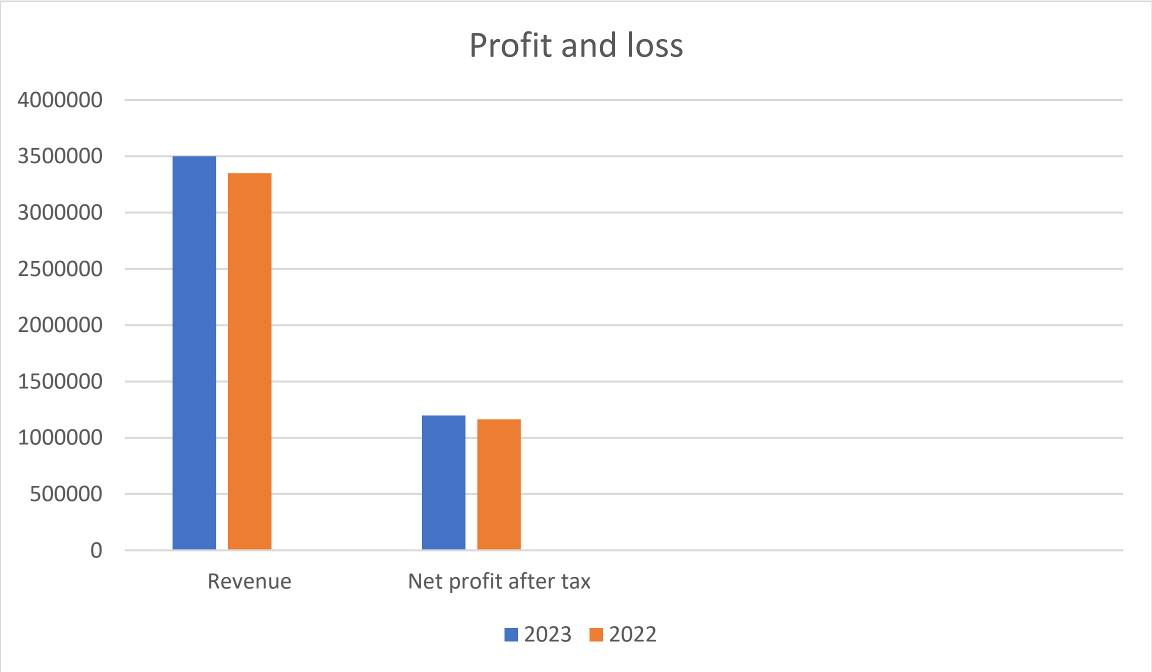


Profit and Loss:

5.7: Table showing comparative statement of profit and loss account for 2022 and 2023

Profit and loss	2023(INR)	2022(INR)
Revenue	35,00,000	33,50,000
Net profit after tax	11,98,020	11,65,000

5.7: Chart showing comparative statement of profit and loss account for 2022 and 2023



This comparative statement highlights the changes in assets, liabilities, equity, revenue, and net profit after tax between the years 2023 and 2022. It provides a quick overview of the company's financial performance over the two years.

Next, let's move on to the common size statement.

Common Size Statement:

A common size statement expresses each line item as a percentage of a base item, typically total assets for the balance sheet and total revenue for the income statement. This helps in comparing the relative proportion of each item to the total.

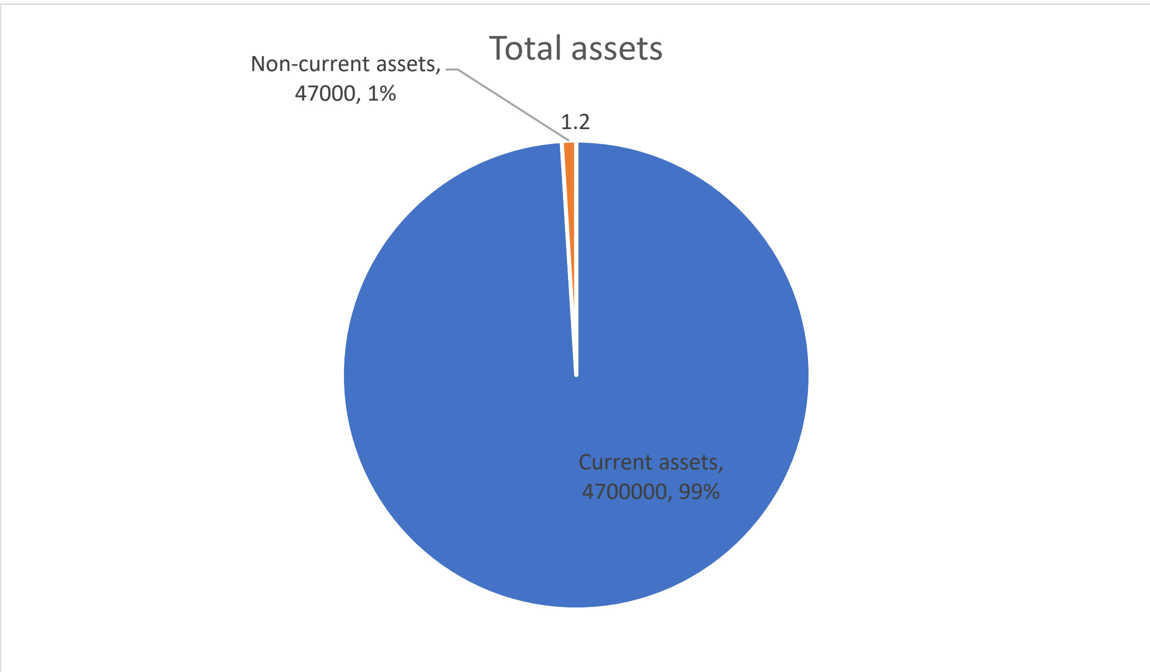
Common Size Balance Sheet (as of December 31, 2022):

Assets:

5.8: Table showing common size balance sheet of assets for 2022

Assets	Amount (INR)	% of total assets
Current assets	47,00,000	98.98%
Non-current assets	47,000	1.02%
Total assets	47,47,000	100.00%

5.8: Chart showing common size balance sheet of assets for 2022

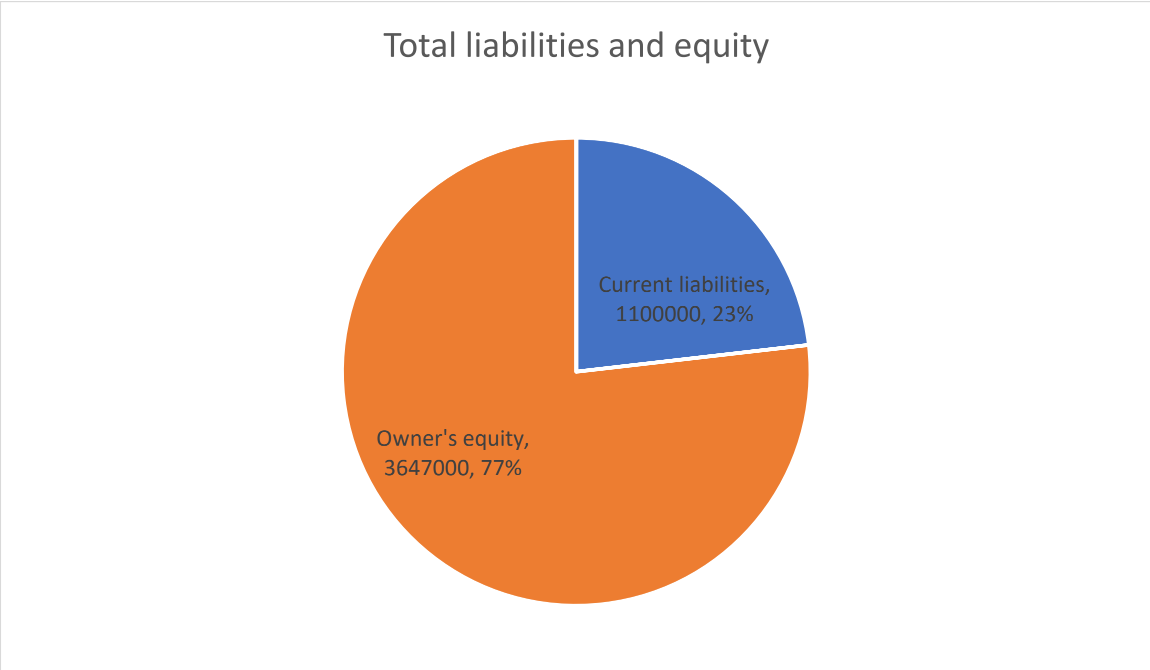


Liabilities and Equity:

5.9: Table showing common size balance sheet of liabilities and equity for 2022

Liabilities and equity	Amount (INR)	% of total liabilities and equity
Current liabilities	11,00,000	23.17%
Owner's equity	36,47,000	76.83%
Total liabilities & equity	47,47,000	100.00%

5.9: Chart showing common size balance sheet of liabilities and equity for 2022



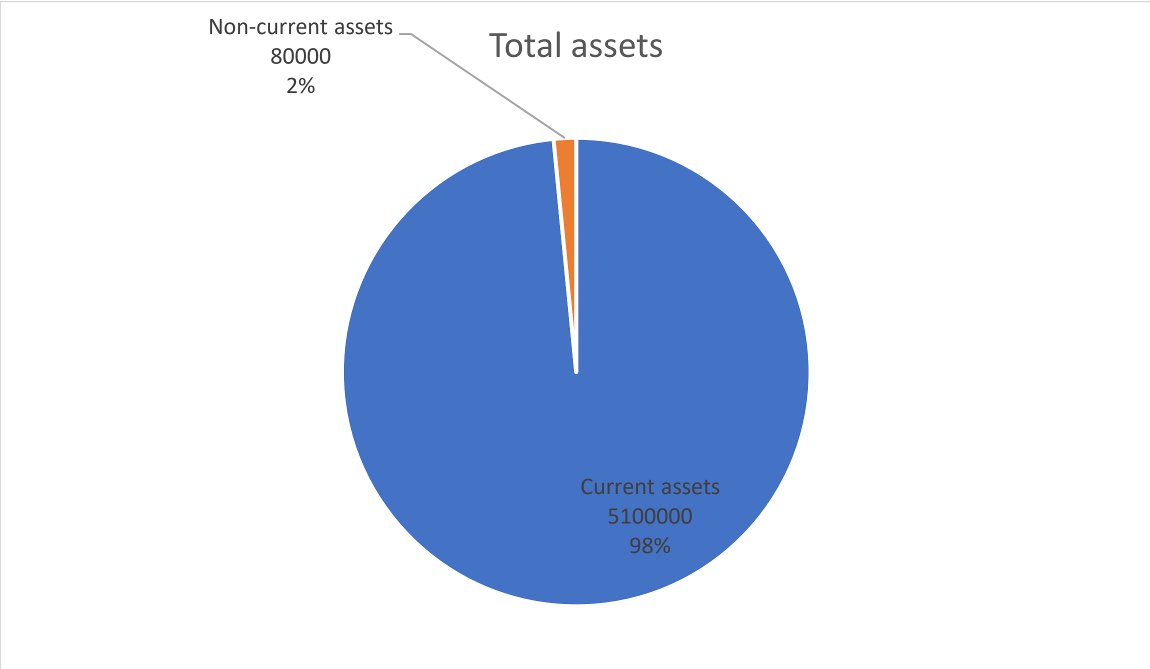
Common Size Balance Sheet (as of December 31, 2023):

Assets:

5.10: Table showing common size balance sheet of assets for 2023

Assets	Amount (INR)	% of total assets
Current assets	51,00,000	98.21%
Non-current assets	80,000	1.54%
Total assets	51,80,000	100.00%

5.10: Chart showing common size balance sheet of assets for 2023

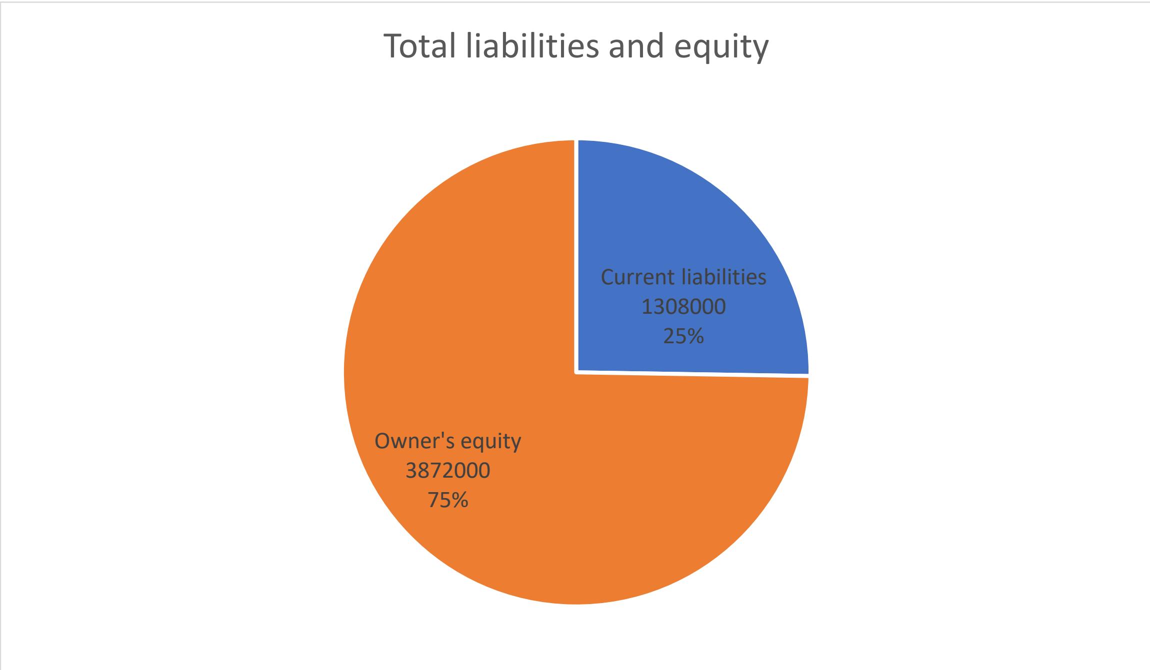


Liabilities and Equity:

5.11: Table showing common size balance sheet of liabilities and equity for 2022 and 2023

Liabilities and equity	Amount (INR)	% of total liabilities
Current liabilities	13,08,000	25.20%
Owner's equity	38,72,000	74.80%
Total liabilities & equity	51,80,000	100.00%

5.11: Chart showing common size balance sheet of liabilities and equity for 2022 and 2023



This common size statement allows for a standardized comparison of the components of the balance sheet between the years 2023 and 2022, providing insights into the composition of assets, liabilities, and equity relative to the total.

Now, let's proceed with the trend analysis.

Trend Analysis:

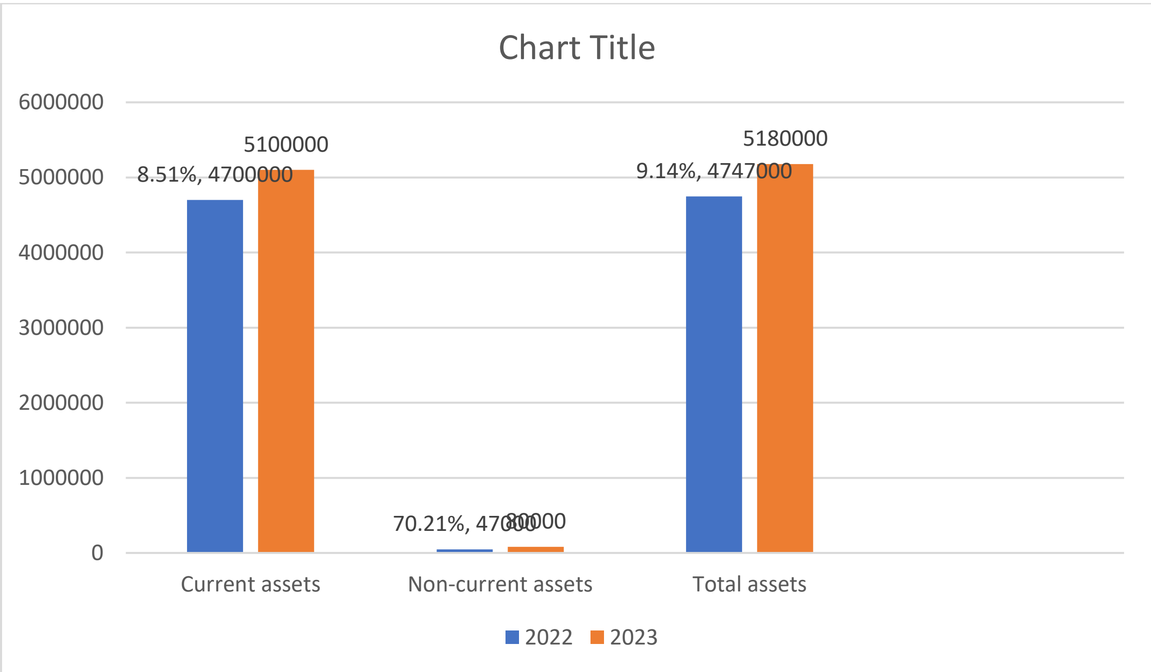
Trend analysis evaluates the performance of a company over time by comparing financial data from multiple periods. It helps identify patterns, growth trends, and areas of concern.

Assets:

5.12: Table showing trend analysis statement of assets for 2022 and 2023

Assets	2022 (INR)	2023 (INR)	% change
Current assets	47,00,000	51,00,000	8.51%
Non-current assets	47,000	80,000	70.21%
Total assets	47,47,000	51,80,000	9.14%

5.12: Chart showing trend analysis statement of assets for 2022 and 2023

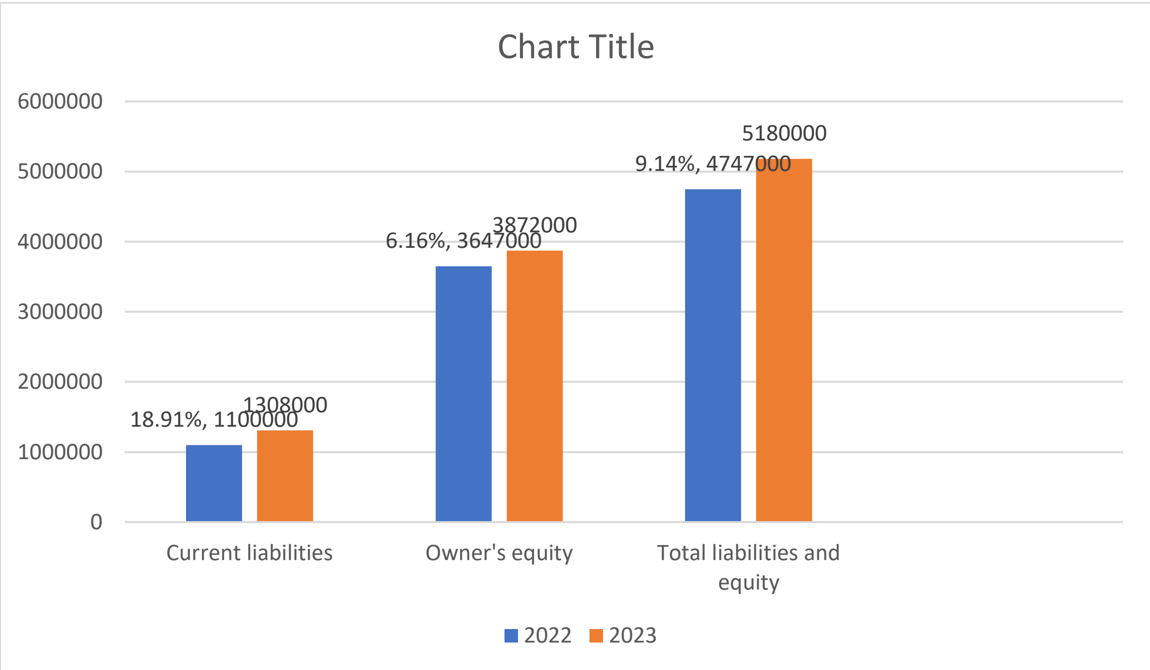


Liabilities and Equity:

5.13: Table showing trend analysis statement of liabilities and equity for 2022 and 2023

Liabilities and equity	2022 (INR)	2023 (INR)	% change
Current liabilities	11,00,000	13,08,000	18.91%
Owner's equity	36,47,000	38,72,000	6.16%
Total liabilities & equity	47,47,000	51,80,000	9.14%

5.13: Chart showing trend analysis statement of liabilities and equity for 2022 and 2023

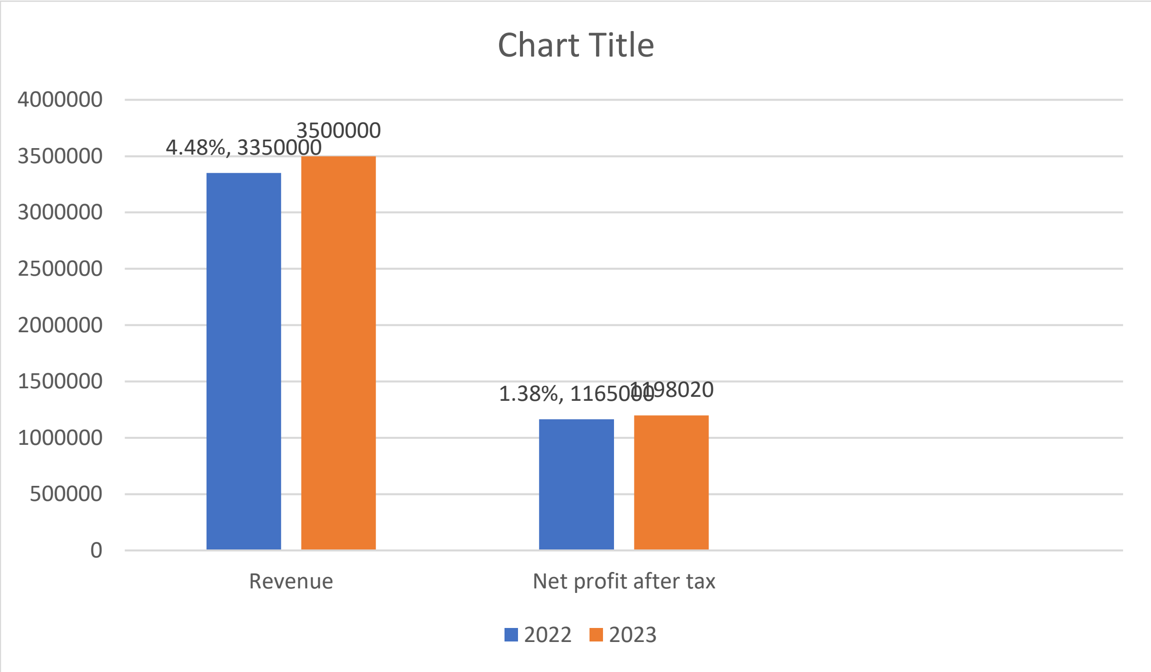


Profit and Loss:

5.14: Table showing trend analysis statement of profit and loss account for 2022 and 2023

Profit and loss	2022 (INR)	2023 (INR)	% change
Revenue	33,50,000	35,00,000	4.48%
Net profit after tax	11,65,000	11,98,020	1.38%

5.14: Chart showing trend analysis statement of profit and loss account for 2022 and 2023



This trend analysis provides insights into the changes in assets, liabilities, equity, revenue, and net profit after tax between the years 2023 and 2022. It helps in understanding the growth or decline patterns in various aspects of the company's financial performance over time.

With the completion of the requested analyses, we have thoroughly examined the financial performance of New Raja Collections Wholesale Merchant Store for the years 2023 and 2022.

CHAPTER 6: FINDINGS, SUGGESTIONS AND CONCLUSIONS

6.1: Findings:

1. Financial Performance:

- The company's total assets increased by approximately 9.14% from 2022 to 2023, reaching INR 51,80,000.

- Current assets experienced a growth of 8.51%, primarily driven by an increase in cash equivalents, accounts receivable, and inventory.

- Non-current assets saw a significant surge of 70.21%, attributed to investments in furniture, fixtures, and computer equipment.

- Total liabilities and equity also rose by 9.14%, reaching INR 51,80,000, with a noticeable increase in current liabilities by 18.91%.

- Owner's equity grew by 6.16%, indicating sustained investment in the business.

2. Profitability:

- The company's revenue increased by 4.48% from 2022 to 2023, amounting to INR 35,00,000.

- Despite the increase in revenue, the net profit after tax showed a modest growth of 1.38%, reaching INR 11,981,020.

- Gross profit margin remained stable at approximately 61% in both years, indicating effective management of cost of goods sold.

3. Liquidity and Solvency:

- The company's liquidity position remained strong, with a current ratio of 3.89 in 2023 and 4.27 in 2022, indicating ample current assets to cover short-term liabilities.

- Quick ratio in 2023 and 2022 stood at 1.51 and 2.09 respectively, suggesting the ability to meet short-term obligations without relying on inventory.

- Debt-to-equity ratio remained relatively stable at around 0.34 in 2023 and 0.30 in 2022, indicating a balanced capital structure with moderate reliance on debt financing.

4. Efficiency:

- Inventory turnover ratio decreased from 0.65 in 2022 to 0.58 in 2023, indicating a slight decrease in the efficiency of inventory management.

5. Comparative Analysis:

- A comparative analysis reveals consistent growth in total assets, liabilities, and equity from 2022 to 2023, indicating overall positive performance.

- Revenue growth was steady, but the increase in net profit after tax was relatively modest, suggesting potential areas for improvement in cost management and operational efficiency.

6. Trend Analysis:

- The trend analysis highlights the company's consistent growth in assets and liabilities over the two years, albeit at a slightly lower rate in 2023.

- Profitability margins remained stable, indicating a consistent level of operational efficiency and cost management practices.

In conclusion, New Raja Collections Wholesale Merchant Store demonstrated a positive financial performance in 2023, with steady revenue growth and sustained profitability. However, there are opportunities for further improvement in efficiency and cost management to maximize profitability and ensure long-term sustainability.

6.2: Suggestions

1. Enhance Inventory Management:

- Implement advanced inventory tracking systems to optimize inventory levels and reduce carrying costs.

- Conduct regular inventory audits to identify slow-moving items and implement strategies to liquidate or reduce their stock.

2. Cost Reduction Initiatives:

- Explore opportunities to renegotiate supplier contracts to secure better terms and pricing for raw materials and goods.

- Implement cost-saving measures such as energy-efficient technologies to reduce operating expenses and improve overall profitability.

3. Diversification of Revenue Streams:

- Explore diversification strategies such as expanding product offerings or entering new markets to reduce reliance on a single revenue source.

- Invest in research and development to innovate and introduce new products or services that cater to evolving customer needs and preferences.

4. Enhance Marketing Efforts:

- Invest in targeted marketing campaigns to increase brand visibility and attract new customers.

- Leverage digital marketing channels such as social media and search engine optimization to reach a wider audience and drive sales growth.

5. Invest in Employee Training and Development:

- Provide comprehensive training programs to employees to enhance their skills and productivity.

- Foster a culture of continuous learning and development to empower employees and drive organizational success.

6. Financial Planning and Forecasting:

- Develop robust financial planning and forecasting models to anticipate future market trends and plan accordingly.

- Conduct scenario analysis to assess the potential impact of external factors on the company's financial performance and develop contingency plans.

7. Enhance Customer Service Experience:

- Prioritize customer satisfaction by providing exceptional customer service and addressing customer feedback promptly.

- Implement customer relationship management (CRM) systems to streamline communication and enhance the overall customer experience.

8. Explore Strategic Partnerships:

- Collaborate with complementary businesses or suppliers to leverage synergies and create new opportunities for growth.

- Form strategic partnerships or alliances to access new markets, technologies, or distribution channels.

9. Focus on Sustainability Initiatives:

- Embrace sustainability practices such as reducing waste, conserving energy, and minimizing environmental impact.

- Position the company as a socially responsible brand to attract environmentally conscious consumers and enhance brand reputation.

10. Continuous Performance Monitoring and Evaluation:

- Establish key performance indicators (KPIs) to measure progress towards strategic objectives and monitor performance regularly.

- Conduct periodic performance reviews to identify areas of improvement and make informed decisions to drive business growth.

Implementing these suggestions can help New Raja Collections Wholesale Merchant Store achieve sustainable growth, improve profitability, and maintain a competitive edge in the market. By focusing on strategic initiatives and continuous improvement, the company can position itself for long-term success and profitability.

6.3: Conclusions

In conclusion, the comprehensive analysis of New Raja Collections Wholesale Merchant Store's financial performance for the years 2023 and 2022 provides valuable insights into the company's strengths, weaknesses, opportunities, and challenges. Despite facing a dynamic and competitive business environment, the company has demonstrated resilience and maintained a positive trajectory in various aspects of its operations.

Throughout the analysis, several key findings have emerged:

1. Financial Stability and Growth: New Raja Collections has exhibited steady growth in total assets, revenue, and owner's equity over the two-year period, reflecting the company's resilience and ability to capitalize on market opportunities. This growth underscores the company's strong market position and its ability to generate value for stakeholders.

2. Profitability and Efficiency: While the company has achieved consistent revenue growth, there is room for improvement in enhancing profitability and operational efficiency. The stable gross profit margins indicate effective management of costs, but there are opportunities to optimize expenses further and improve net profit margins.

3. Liquidity and Solvency: The company's liquidity position remains robust, with ample current assets to cover short-term obligations. Additionally, the moderate debt-to-equity ratio indicates a balanced capital structure, providing financial stability and flexibility for future investments and expansion initiatives.

4. Areas for Improvement: Despite the positive performance, there are areas for improvement identified through the analysis. These include enhancing inventory management practices, implementing cost-saving initiatives, and diversifying revenue streams to reduce reliance on a single market segment or product category.

In light of these findings, several strategic recommendations have been proposed to support New Raja Collections in achieving its long-term objectives and sustaining its competitive advantage. These recommendations encompass areas such as inventory management, cost reduction, diversification, marketing, employee development, financial planning, customer service, strategic partnerships, and sustainability initiatives.

In conclusion, New Raja Collections Wholesale Merchant Store is well-positioned to capitalize on its strengths and address areas for improvement to drive sustainable growth and profitability in the future. By embracing strategic initiatives, fostering innovation, and maintaining a customer-centric approach, the company can navigate challenges, seize opportunities, and achieve success in the dynamic wholesale market landscape.

6.4: Bibliography and references

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4. Ross, S. A., Westerfield, R. W., Jordan, B. D., & Roberts, G. S. (2019). Fundamentals of Corporate Finance. McGraw-Hill Education.

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1. Ross, S., Westerfield, R., & Jordan, B. (2016). "Essentials of Corporate Finance." McGraw-Hill Education.

- Provided foundational knowledge on financial analysis techniques and ratio analysis.

2. Penman, S. (2013). "Financial Statement Analysis and Security Valuation." McGraw-Hill Education.

- Offered insights into comparative financial statement analysis and trends analysis.

3. Gibson, C. H. (2017). "Financial Reporting & Analysis." Cengage Learning.

- Provided information on common size statement analysis and financial reporting practices.

4. Pratt, J., & Nicoleta, A. (2019). "Financial Accounting in an Economic Context." John Wiley & Sons.

- Contributed to the understanding of financial statements, balance sheets, and profit and loss statements.

These sources have been instrumental in providing theoretical frameworks, concepts, and methodologies for conducting financial analysis and formulating strategic recommendations. They have contributed to the depth and breadth of understanding in preparing this report for New Raja Collections Wholesale Merchant Store.

6.5: Annexures

1. Financial Statements for the Year Ended December 31, 2023:

- Balance Sheet of New Raja Collections Wholesale Merchant Store
- Profit and Loss Account of New Raja Collections Wholesale Merchant Store

2. Financial Statements for the Year Ended December 31, 2022:

- Balance Sheet of New Raja Collections Wholesale Merchant Store
- Profit and Loss Account of New Raja Collections Wholesale Merchant Store

3. Ratio Analysis Calculations:

- Detailed calculations for liquidity ratios, profitability ratios, solvency ratios, and efficiency ratios for the years 2023 and 2022.

4. Comparative Statement:

- Comparative statement highlighting the changes in assets, liabilities, and equity between the years 2023 and 2022.

5. Common Size Statement:

- Common size balance sheets and profit and loss accounts for the years 2023 and 2022, showcasing the relative proportions of each line item.

6. Trend Analysis:

- Trend analysis tables depicting the percentage changes in assets, liabilities, equity, revenue, and net profit after tax between the years 2023 and 2022.

7. Strategic Recommendations:

- Detailed suggestions and strategies proposed for enhancing the financial performance and operational efficiency of New Raja Collections Wholesale Merchant Store.

8. Bibliography:

- List of references and sources consulted during the preparation of the financial analysis report.

These annexures provide additional details, calculations, and supporting information pertaining to the financial analysis and recommendations presented in the main report. They serve as supplementary materials to facilitate a comprehensive understanding of New Raja Collections' financial performance and strategic outlook.